

Amendment No. 2 to HB0662

Hicks G
Signature of Sponsor

AMEND Senate Bill No. 714

House Bill No. 662*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 49, Chapter 1, Part 6, is amended by adding the following as a new section:

49-1-616. Educational oversight boards for underperforming school districts.

(a) An educational oversight board must be created for an LEA if:

(1) Fifty percent (50%) or more of the students enrolled in the LEA did not meet grade-level expectations in mathematics and English language arts on the most recently administered Tennessee comprehensive assessment program tests, including end-of-course examinations;

(2) Thirty percent (30%) or more of the schools managed and controlled by the LEA's local board of education were assigned a "D" or "F" letter grade for the most recent school year for which letter grades were assigned by the department of education pursuant to § 49-1-228;

(3) Twenty-five percent (25%) or more of the students enrolled in the LEA were chronically absent in the most recent school year. As used in this subdivision (a)(3), "chronically absent" means that a student has been absent from school for ten percent (10%) or more of the school year;

(4) At least one (1) school managed and controlled by the LEA's local board of education has been identified as a priority school pursuant to § 49-1-602 on each of the last five (5) priority school lists issued by the department; and

(5) The local legislative body for the county in which the LEA is located approves, by a majority vote, a resolution expressing that the local legislative body has no confidence in the LEA's local board of education.

(b) If one (1) or more LEAs meet the description in subsection (a), then the commissioner of education shall notify, in writing, the local board of education for each LEA described in subsection (a), the governor, the speaker of the senate, and the speaker of the house of representatives that an oversight board must be appointed for the LEA. An oversight board must be established pursuant to this section no later than July 1 following the date of the commissioner's written notice.

(c)

(1) An educational oversight board consists of the following nine (9) members, each of whom must reside in the county in which the LEA is located:

(A) Five (5) members appointed by the governor;

(B) Two (2) members appointed by the speaker of the house of representatives; and

(C) Two (2) members appointed by the speaker of the senate.

(2) A vacancy created on an oversight board must be filled by the respective appointing authority to serve until the oversight board terminates.

(3) A member of an oversight board may be removed from the oversight board by the member's appointing authority at any time for any reason.

(4) Members of an oversight board must be compensated in the same manner as members of the LEA's local board of education are compensated.

(d)

(1) An educational oversight board shall operate in the LEA for three (3) consecutive years beginning on July 1 following the date of the commissioner's written notice for the LEA pursuant to subsection (b). If the LEA continues to meet the description in subsection (a) when the LEA's oversight board is

scheduled to terminate in accordance with this subdivision (d)(1), then the same educational oversight board may be extended for three (3) additional years.

(2) An educational oversight board:

(A) Shall comply with the open meetings law, compiled in title 8, chapter 44, and the public records law, compiled in title 10, chapter 7; and

(B) May hold meetings in facilities owned or operated by the LEA.

(e) Notwithstanding another law to the contrary:

(1)

(A) The local board of education for an LEA for which an educational oversight board is operating pursuant to this section shall submit the proposed budget for the LEA, including any proposed budget amendments, to the oversight board for approval before it may be submitted to the appropriate local legislative body for adoption;

(B) The oversight board shall review the proposed budget or budget amendment and may veto the proposed budget or budget amendment as a whole or may veto one (1) or more line items in the proposed budget or budget amendment;

(C) If the oversight board vetoes the proposed budget or budget amendment, then the local board shall revise the proposed budget or budget amendment as directed by the oversight board and shall resubmit it to the oversight board for approval;

(D) If the local board fails to revise the proposed budget or budget amendment as directed by the oversight board, then the oversight board shall submit the budget for the LEA or any proposed budget amendment for the LEA to the appropriate local legislative body for adoption;

(E) If the oversight board does not veto the proposed budget or budget amendment in whole or in part within ten (10) business days from

the date on which the proposed budget or budget amendment is submitted to the oversight board for approval, then the proposed budget or budget amendment is deemed to be approved by the oversight board and may be submitted to the local legislative body for adoption; and

(F) A local legislative body shall not adopt a budget or budget amendment for an LEA for which an educational oversight board is operating pursuant to this section unless the chair of the local board of education certifies to the local legislative body in writing that:

(i) The budget or budget amendment was submitted to the oversight board and has been approved for submission to the local legislative body in accordance with this subdivision (e)(1); or

(ii) The budget or budget amendment was submitted to the oversight board and was not vetoed by the oversight board in whole or in part within ten (10) business days from the date on which it was submitted to the oversight board for approval;

(2)

(A) The local board of education for an LEA for which an educational oversight board is operating pursuant to this section shall not:

(i) Enter into, renew, or amend any contracts with a total value of fifty thousand dollars (\$50,000) or more unless the contract is approved by the oversight board. For purposes of this subdivision (e)(2)(A)(i), "contract" does not include an employment contract for a teacher or school principal, but does include an employment contract for a director of schools; or

(ii) Authorize any purchase or make any expenditure with a value of fifty thousand dollars (\$50,000) or more unless the purchase or expenditure is first approved by the oversight board.

For purposes of this subdivision (e)(2)(A)(ii), "expenditure" does not include the salaries or benefits paid to a teacher or school principal, but does include the salary, benefits, and other contract or employment-related expenses for a director of schools;

(B) If the local board submits a proposed contract or contract amendment, purchase, or expenditure to the oversight board for approval and the oversight board does not notify the local board within ten (10) business days from the date on which the item was submitted to the oversight board for approval that the proposed contract or contract amendment, purchase, or expenditure is denied, then the item is deemed to be approved by the oversight board; and

(C)

(i) The chair of the local board shall certify, in writing, to any third party with which the local board enters into, renews, or amends a contract for which approval of the educational oversight board is required pursuant to this subdivision (e)(2) that:

(a) The contract was submitted to the oversight board and has been approved by the oversight board; or

(b) The contract was submitted to the oversight board and was not vetoed by the oversight board in whole or in part within ten (10) business days from the date on which it was submitted to the oversight board for approval;

(ii) A contract or contract amendment is not legally enforceable in this state if the contract or contract amendment was executed by and between a third party and the local board of education for an LEA for which an oversight board is operating pursuant to this section if the chair of the local board did not issue

the certification required in subdivision (e)(2)(C) before the contract or contract amendment was executed or if the chair of the local board issued a fraudulent or misleading certification; and

(iii) If the oversight board approves, or is deemed to have approved, a proposed contract, contract amendment, purchase, or expenditure, then the local board may proceed with the contract, contract amendment, purchase, or expenditure and must do so in accordance with all applicable procurement laws;

(3)

(A) The local board of education for an LEA for which an educational oversight board is operating pursuant to this section shall, if applicable to the LEA for which the oversight board is operating, submit the comprehensive listing of all underutilized property or vacant property required in § 49-13-136(c)(2) to the oversight board for approval no later than sixty (60) days before the list is submitted to the department of education and the comptroller of the treasury;

(B) The oversight board shall review the proposed list and may revise the list as the oversight board deems necessary to accurately reflect the underutilized property or vacant property in the LEA that is available for use by a public charter school operating in the LEA; and

(C) The local board shall submit to the department of education and comptroller of the treasury the comprehensive listing of all underutilized property or vacant property approved by the oversight board, including any underutilized property or vacant property that may have been added to the list by the oversight board; and

(4)

(A) The local board of education for an LEA for which an educational oversight board is operating pursuant to this section shall not deny an amended application to open a new public charter school, an application to convert an existing public school to a public charter school, an application to renew the charter agreement of a public charter school, or a petition to amend the charter agreement of a public charter school submitted to the local board unless the oversight board has reviewed and approved the local board's decision to deny the application or petition;

(B) The local board shall submit the application or petition described in subdivision (e)(4)(A) that the local board seeks to deny to the oversight board for review, and the grounds upon which the local board is basing its decision to deny the application or petition, to the oversight board when it reaches its final decision on the application or petition or no later than fifteen (15) days before the local board is required to issue a final decision to approve or deny the application or petition pursuant to chapter 13 of this title, whichever is earlier;

(C)

(i) If the oversight board approves the local board's decision to deny an application or petition described in subdivision (e)(4)(A), then the local board shall issue a final decision, ruling, or resolution denying the application or petition; and

(ii) This subdivision (e)(4)(C) does not impair a sponsor or governing body, as those terms are defined in § 49-13-104, from appealing the denial to the Tennessee public charter school commission in accordance with chapter 13 of this title; and

(D) If the oversight board disagrees with the local board's decision to deny an application or petition described in subdivision

(e)(4)(A), then the local board shall issue a final decision, ruling, or resolution approving the application or petition.

SECTION 2. Tennessee Code Annotated, Section 49-6-2602(3), is amended by deleting subdivision (D) and substituting instead the following:

(D) Except for a student who is zoned to attend a school in an LEA described in § 49-1-616(a), is a member of a household with an annual income for the previous year that does not exceed twice the federal income eligibility guidelines for free lunch;

SECTION 3. Tennessee Code Annotated, Section 49-6-2603(a), is amended by designating the existing language of subdivision (5) as subdivision (5)(A) and adding the following as a new subdivision (5)(B):

(B) Subdivision (5)(A) does not apply to an eligible student who is zoned to attend a school in an LEA described in § 49-1-616(a). Notwithstanding this part to the contrary, if the LEA in which the eligible student is zoned to attend a school met the description in § 49-1-616(a) at the time the parent of the eligible student or the eligible student, as applicable, submitted an application to participate in the program, then the student is not required to verify the student's household income for any year for which the student participates in the program, even if the LEA in which the student is zoned to attend a school no longer meets the description in § 49-1-616(a).

SECTION 4. Tennessee Code Annotated, Section 49-6-2603, is amended by deleting the language "as applicable" in subdivision (d)(2) and substituting instead "as applicable, who is required to verify that the participating student's household income meets the requirements of § 49-6-2602(3)(D)" and by deleting the language "as applicable," wherever it appears in subdivision (f)(2) and substituting instead "as applicable, who is required to verify that the participating student's household income meets the requirements of § 49-6-2602(3)(D)".

SECTION 5. Tennessee Code Annotated, Section 49-6-2604(a), is amended by deleting subdivision (6) and substituting instead the following:

(6) An income verification process for a parent of a participating student who is seventeen (17) years of age or younger, or a participating student who has reached eighteen (18) years of age, as applicable, who is required to verify that the participating student's household income meets the requirements of § 49-6-2602(3)(D) to verify the participating student's household income.

SECTION 6. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 7. The heading in this act is for reference purposes only and does not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the heading in any compilation or publication containing this act.

SECTION 8. Sections 2-5 of this act take effect July 1, 2025, the public welfare requiring it, and apply to the 2025-2026 school year and each school year thereafter. All other sections of this act take effect upon becoming a law, the public welfare requiring it.